

FUBOTV INC.

(NYSE: FUBO)

The \$164 Subscriber: Disney's Sports Bundle Priced for Liquidation

BUY — \$33.00 Target

Equity Research Note · Communication Services — Streaming / vMVPD · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$33.00	\$8.66	+281.1%	High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$0.95 bn (109.2 mn econ. sh × \$8.66)	FY2026E revenue	~\$6.19 bn (pro forma, combined)
Enterprise value	~\$1.03 bn	FY2026E adj. EBITDA guide	\$90–100 mn (raised Aug 2026)
Net debt	~\$86 mn (6/30/26)	2028 target	≥\$300 mn adj. EBITDA; positive FCF in 2027
52-week range	~\$7.95 – \$52.68 (split-adjusted)	Disney stake	~70% of economics; controlled company
Subscribers	~5.75 mn North America (FQ3'26)	Next catalyst	Disney Ad Server migration completion, YE 2026

1 Investment Thesis

The quote prices in failure; the business is inflecting. At \$8.66 the market implies either a roughly –10% ten-year revenue decline (at our base-case margins) or a ~3.5–4% steady-state EBITDA margin — below the ~4–5% margin embedded in management's own public 2028 target of at least \$300 million of adjusted EBITDA. Yet the combined company has printed three consecutive quarters of positive adjusted EBITDA, raised its 2026 guidance, and brought free cash flow to near breakeven. The bar the market sets is lower than the bar management already clears. That gap is the opportunity.

The Disney combination was a genuine transformation of the unit economics, not a rescue narrative. Closed in October 2025, it married Fubo's sports-first product with Hulu + Live TV's subscriber base, creating a ~6-million-subscriber, sixth-ranked U.S. pay-TV operator overnight. Disney brings three tangible assets beyond scale: committed financing, the Disney Ad Server migration that is already lifting ad fill rates and CPMs, and content-packaging flexibility a sub-scale standalone could never negotiate. Scale is the only durable way to improve content cost per subscriber in virtual pay TV, and Fubo just bought it.

Our forward judgment is that the investment case does not require Fubo to win the streaming wars — it requires the combined company to harvest the synergies the combination underwrote. Three engines carry the 2028 target: advertising optimization, where every incremental ad dollar in a ~7%-gross-margin business falls almost entirely to EBITDA; content-cost flexibility from negotiating as a top-six operator with Disney's ownership changing the bargaining dynamic; and distribution inside ESPN's purchase flow replacing paid subscriber acquisition. We haircut management's synergy and margin targets throughout — our base case assumes only an 8% steady-state EBITDA margin — and the probability-weighted DCF still lands at \$32.55, rounded to our \$33 target.

We want to be plain about what this is: a speculative situation with a very wide range of outcomes, and the governance is the central risk. Public shareholders own economics but no control — Disney executed the 1-for-12 reverse split by written consent without a shareholder meeting — and 79 million shares of future overhang are registered. There is also

a free takeout option embedded: Disney owns 70% of the economics, and taking out the stub at a strategic 0.5–0.75x sales multiple equates to roughly \$28–42 per share. This is a small position for investors who can tolerate a wide outcome distribution, not a core holding.

Why the market will care (eventually)

- **\$164 per subscriber is a liquidation quote.** The equity is valued at roughly \$164 per subscriber and 0.15x revenue, versus ~\$800–1,000 per subscriber implied when Disney struck the deal in January 2025 and \$400–1,000 per sub in precedent pay-TV transactions. Even at trough multiples — 0.5x revenue, \$400 per sub, 10x the 2028E EBITDA target present-valued — fair value is \$20–28 per share, roughly 2.5x to 3x the quote.
- **The EBITDA inflection is already printing.** Three straight quarters of positive adjusted EBITDA (\$41.4M, \$37.7M, \$19.1M), guidance raised to \$90–100M for 2026, and free cash flow improved from –\$41M to –\$7.5M year over year. The market is underwriting a trajectory the reported numbers are already beating.
- **Advertising is the highest-leverage engine.** Live sports inventory commands premium CPMs, and the Disney Ad Server migration — complete by year-end 2026 — is credited for the FQ3 EBITDA beat. In a 7%-gross-margin business, the ad business is the margin story.

2 Business Overview — What fuboTV Is Doing

(New York, New York; CEO Alisa Bowen)

FuboTV, founded in 2015 as a soccer-streaming service and public since October 2020, is a sports-first virtual multichannel video programming distributor (vMVPD): a live-TV bundle delivered over the internet, sold in tiers from a \$64.99 sports-and-news skinny package to the full \$98.99 bundle, with cloud DVR and on-demand content. Revenue comes from subscriptions and from advertising, including dynamically inserted ads in live and on-demand streams, on the company's proprietary ad-insertion and billing stack. The flagship service carries major sports networks alongside news and entertainment; the company also owns the Fubo Sports linear network and operates in France.

The defining corporate event is the October 2025 combination with Disney's Hulu + Live TV business, structured as an Up-C reorganization in which Hulu is the accounting acquirer — so as-reported history is Hulu + Live TV carve-out numbers, and year-over-year comparisons are only meaningful on the company's pro forma basis. Disney holds roughly 70% of the economics and a majority of the votes through 79.0 million Class B shares; the public float is 30.2 million Class A shares after the March 2026 1-for-12 reverse split. The settlement of the sports-streaming litigation that preceded the deal cleared the way for the skinny-bundle products both sides had been blocked from offering.

Whether the combination delivers depends almost entirely on execution — integration of two technology stacks, realization of cost synergies, and disciplined pricing — rather than on the strategic logic, which is sound: two sub-scale virtual pay-TV operators, each too small to negotiate programming costs from strength, become one operator large enough to matter to programmers.

What the company is doing now

- **Sixth-largest U.S. pay-TV operator.** ~5.75 million North American subscribers at FQ3'26, behind only YouTube TV at 10M+. Sports depth — regional sports networks, 55,000+ events per year — plus the best DVR (1,000 hours) and stream count (10) in the category.
- **The Disney toolkit.** A \$145M Disney term note (4.2%, due 2031) drawn to retire the converts; the Disney Ad Server migration lifting fill rates and CPMs; ESPN reseller placement inside ESPN's purchase flow; cross-promotion across Disney's portfolio replacing paid acquisition.
- **The skinny ladder.** A \$64.99 sports-and-news tier brackets YouTube TV's genre plans and pulls in cord-nevers who never subscribed to a traditional bundle — the growth product, if churn can be contained.

3 Financial Analysis

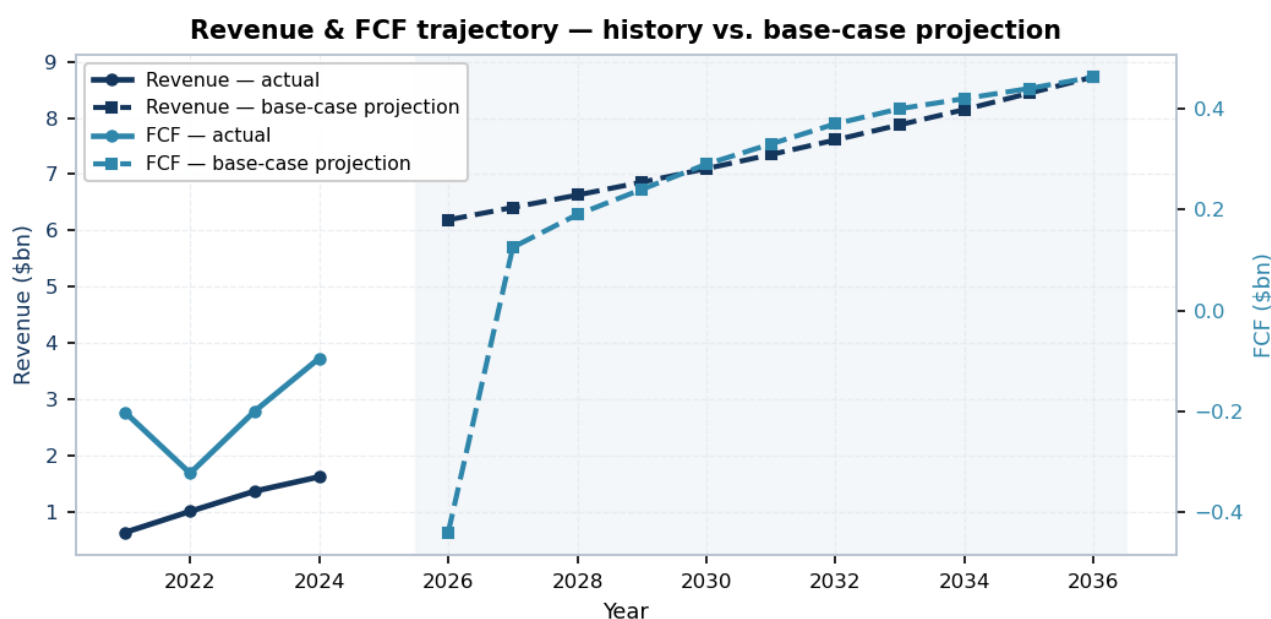
\$ mn (pro forma)	FQ1'26	FQ2'26	FQ3'26
Revenue (North America)	1,675	1,566	1,474
Subscribers (NA, period-end)	6.2M	5.7M	5.75M
Adjusted EBITDA	41.4	37.7	19.1
Adj. EBITDA margin	2.5%	2.4%	1.3%
Free cash flow	—	−214.7*	−7.5

*FQ2 FCF outflow was seasonal working capital. Sources: Fubo 8-K exhibits and FQ3'26 press release (2026).

Read the numbers on the pro forma basis. Three quarters into the combination, the trajectory is unambiguously improving: revenue stable around \$1.5–1.7B per quarter, adjusted EBITDA positive every quarter (\$41.4M, \$37.7M, \$19.1M), free cash flow approaching breakeven (−\$7.5M in FQ3'26 versus −\$41M a year earlier). Management guides FY2026 adjusted EBITDA of \$90–100M — roughly a 1.5% margin on ~\$6.2B of pro forma revenue — and targets at least \$300M by FY2028 (~4–5% margin) with positive free cash flow in FY2027. Gross margin sits near 7%: the vMVPD's structural reality, with ~93 cents of every revenue dollar going to content owners.

Balance sheet: \$236.4M cash at June 30, 2026 against \$322.5M of debt — a \$145M Disney senior unsecured note at 4.2% due 2031 plus \$177.5M of converts due 2029 — for net debt of ~\$86M. A large NOL stock shields cash taxes near-term. Liquidity is workable only if the plan delivers: consensus FCF turns positive (+\$125M) in FY2027 after −\$441M in FY2026. A miss on the FY2027 FCF target re-opens the dilution question, and the un-reduced authorized share count gives management the tool to answer it.

Revenue & cash-flow trajectory



History: standalone Fubo as-reported (pre-combination). Projections: combined-entity base case — revenue at the 3.5% scenario CAGR off the \$6.19B FY2026E base; FCF turning positive in 2027 per the guided inflection, compounding to the model's 2036 endpoint. The 2025 gap reflects the accounting-acquirer changeover.

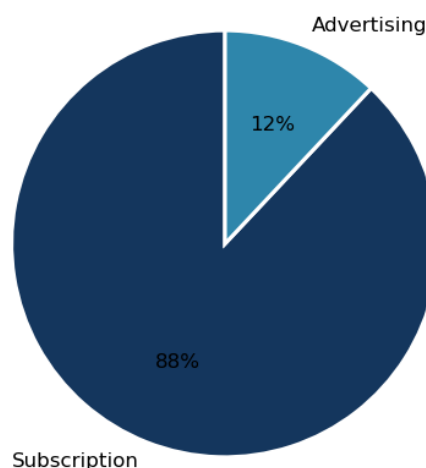
4 Moat & Competition

- **Sports depth at mid-tier pricing.** Regional sports networks and 55,000+ annual events in a \$64.99–\$98.99 ladder — the deepest sports lineup of any vMVPD, aimed at the tens of millions of households that subscribe to streaming primarily for live sports.

- **Scale just purchased.** Sixth-largest U.S. pay-TV operator overnight; programming-cost leverage is the entire margin story in virtual pay TV, and scale is the only durable way to improve it.
- **Owned ad tech on premium inventory.** Proprietary ad-insertion stack monetizing live sports audiences at premium CPMs, now amplified by the Disney Ad Server migration — margin that resold inventory does not capture.
- **The moat's limits are structural.** A ~7% gross margin means content owners capture essentially all the value; YouTube TV at 10M+ subscribers matches Fubo's skinny-tier pricing move for move with deeper pockets. This is a scale-and-execution story, not a compounder.

Revenue mix, ~2024 (standalone Fubo)

Revenue mix, ~2024 (standalone Fubo)



5 Valuation — 10-year scenario FCF DCF, Fair Value \$33

We value Fubo on a 10-year scenario DCF off a \$6.19B FY2026E revenue base (consensus), with starting EBITDA of \$95M (midpoint of the raised \$90–100M guide) and EBITDA margins gliding to 3% / 8% / 12% by scenario — FCF modeled as EBITDA less ~1.5% capex intensity, with NOLs shielding cash taxes. Discount rates are scenario-specific: 12.0% base for this speculative controlled stub, 14.5% bear, 10.5% bull; terminal growth capped at 2.0% on mid-cycle margins. Net debt of \$86M is deducted; all per-share figures divide by 109.2M economic-equivalent shares (30.2M Class A + 79.0M Class B). Terminal value is 35–65% of enterprise value by scenario, under the 70% guardrail.

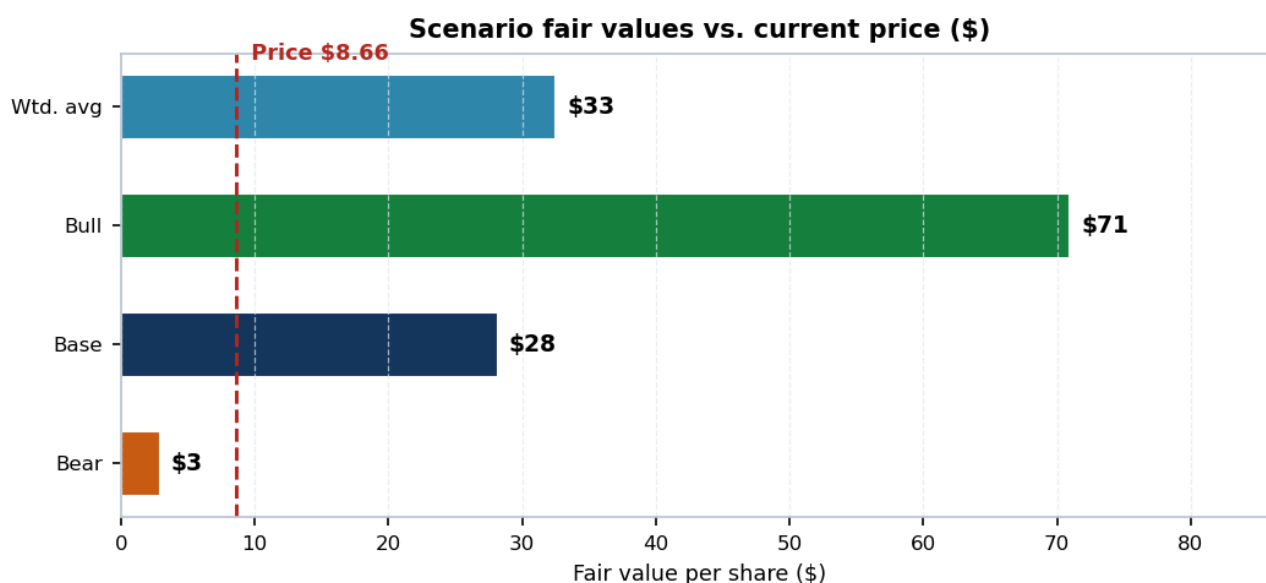
The bear case genuinely hurts: 0.5% revenue CAGR (under 3%), a 3% steady-state margin 500bp below the base case, and \$2.91 per share — 66% below the quote. We do not underwrite management's synergy targets at face value: the base-case 8% margin is deliberately below synergy-optimist hopes, and the controlled-company risk is priced through the 12% base discount rate rather than an ad hoc stub haircut.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Cord-cutting wins; subs drift; synergies accrue to Disney, not the stub; dilutive action on the capital structure	+0.5%	3%	14.5% / 2.0%	35%	\$2.91
Base	Subs flat-ish, ARPU +2–3%; Disney synergies lift margins toward 8%; ad-server migration delivers	+3.5%	8%	12.0% / 2.0%	55%	\$28.17
Bull	ESPN distribution + ad-server work; subs +3%; skinny tiers expand the base; margins to 12%	+6.0%	12%	10.5% / 2.0%	65%	\$70.94

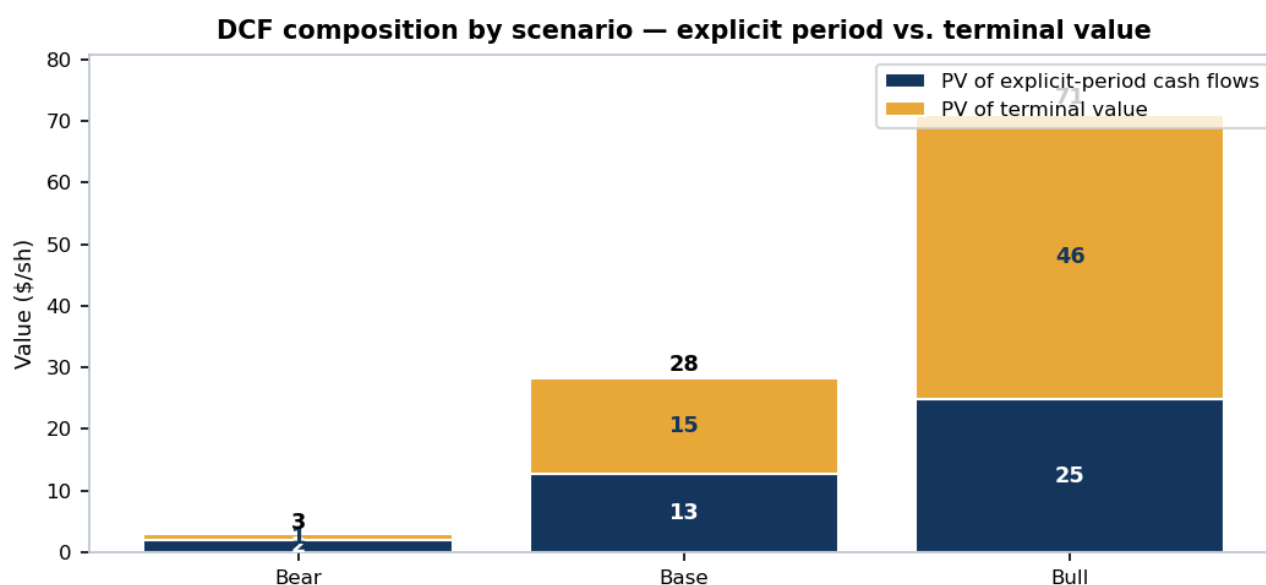
Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Wtd. avg	Probability-weighted (25/50/25) → \$33.00 target					\$33.00

Probability-weighted fair value is \$32.55; the \$33.00 target is the weighted value rounded.

Scenario fair values vs. current price (\$)



DCF composition by scenario



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Controlled-company governance — the central risk.** Disney holds ~70% of the economics and the votes and has shown it will act unilaterally. Minority shareholders cannot block strategy, capital allocation, or a takeout price they dislike.

- **Dilution and overhang.** The authorized share count was not reduced in the reverse split, and 79M Class A shares are registered for eventual exchange of Disney's interest. Any liquidity shortfall is likely to be solved with the printing press.
- **Structural margin thinness.** ~7% gross margins are not a phase; they are the vMVPD business model. If content-cost inflation outruns ARPU, the EBITDA inflection reverses.
- **YouTube TV and the scale game.** Google's 10M+ subscribers and new genre plans match Fubo's moves with deeper pockets; a price war in skinny sports bundles would compress the exact segment Fubo is counting on.
- **Carriage and content risk.** Each renewal is a potential blackout, subscriber shock, or rate step-up — and sports-first customers are the least forgiving of gaps.
- **Cord-cutting and churn.** The U.S. pay-TV universe shrinks ~5% a year; sustained sub declines break the synergy math.
- **Financing.** \$236M of cash funds the plan only if FY2027 FCF inflects positive as guided. A miss re-opens the capital question on terms Disney dictates.

What would change our mind

Downgrade on: two consecutive quarters of pro forma net subscriber declines (the product thesis failing); failure to realize announced cost synergies within the guided timeframe; the FY2027 positive-FCF target slipping; any dilutive equity raise using the un-reduced authorized count; or Disney actions that subordinate the stub — any of which re-rates the shares toward the \$3–9 bear zone. Conversely, sustained subscriber growth, ad ARPU compounding post-migration, or a takeout bid would move the conversation toward the \$71 bull case. Sell discipline: halve the position if the stock reaches \$25 ahead of the fundamentals; exit entirely on a dilutive raise or a broken FCF trajectory.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.